

Editorial

On IT and related matters

I remember reading a Nicholas Carr article 'IT Doesn't Matter' back in 2003, where he said IT is commoditized and cannot provide a competitive advantage. Now, even Carr is changing his tune. I say he is about half right.

But will IT alone help? I don't think so. IT alone can no longer provide a competitive advantage unless it is combined with smart people and business processes. The giant companies of the world have proven that IT is a key ingredient of the winning business success recipe.

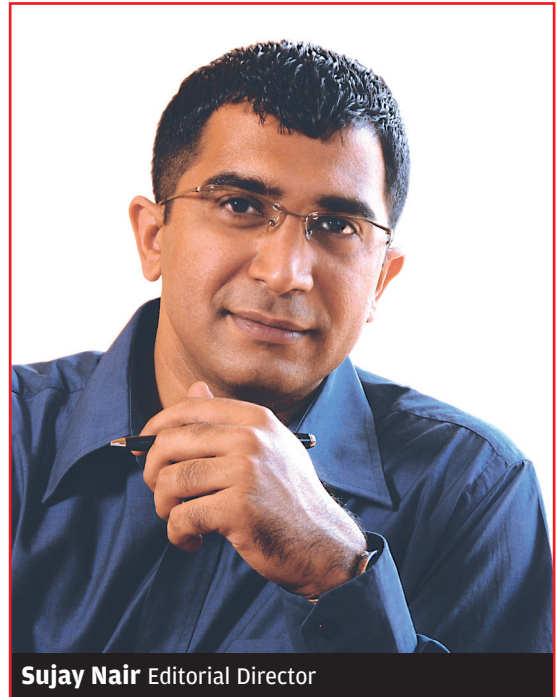
What's the recipe of a winning business? Individual improvements and innovation is not sustainable; over time it will be copied. The key is to keep improving and innovating, better and faster, and then no one can catch up.

How many enterprises look at their businesses this way? Take a look at the stock exchange. The Sensex is now on a roller-coaster ride. Now, having said that, are we equipped to handle such large volumes of transactions? Remember Tokyo Stock Exchange? It just came down, couldn't scale up to handle large volumes of online trading. Are we equipped to scale up?

On the other hand, the BPO industry is doing well, what with companies doing an impressive job of keeping their cost edge, thanks to the improvement in management and technology. The sector is one of the fastest adopters of technology to keep a competitive edge. However, customers of these companies, the foreign companies, are demanding more and more for less. They want more sophisticated work and the quality metrics among domestic companies are not constant. Can these companies hone their competitive edge before the foreigners find a better alternative to India?

When a top official of the government of Punjab said Chandigarh was going to be the next IT hub of India, I was thinking of all the so-called 'IT hubs' in India. There seems to be competition between the states of India to create a 'Bangalore' in every corner of India.

The surprising fact is that it's working. It was pleasant to see the IT parks in Punjab; similar parks are being built across the nation. This reminds me of the way there is a shopping mall in every corner



Sujay Nair Editorial Director

The survival of business is all about being different and using technology to create a competitive edge.

of all major cities in India. We seem to overdo certain things in all aspects and forget to do our homework well. Is this going to be the case with the IT parks also? Are these technology 'giants' compromising on the quality of service to create such a multi-locational presence in India? We'll have to wait and watch how long this goes on.

The survival of business is all about being different and using technology to create a competitive edge. This will set you apart. How is this possible in such a dynamic market? Does technology alone provide this 'edge'? Or, is it a combination of various factors aligned with technology that provides it? Some of the key factors are innovation and thinking out-of-the-box.

Keep asking this question—is IT keeping up with my own innovative ideas? The new question today is not 'does IT matter?' but 'can IT provide a base for my innovative ideas in business?'

A handwritten signature in black ink, appearing to read 'Sujay Nair'.

editor@thinkdigit.com